

Required Report: Required - Public Distribution

Date: April 09, 2026

Report Number: AR2026-0005

Report Name: Oilseeds and Products Annual

Country: Argentina

Post: Buenos Aires

Report Category: Oilseeds and Products

Prepared By: Chase McGrath

Approved By: William Verzani

Report Highlights:

Post forecasts Argentina's soybean production at 49 MMT in MY2026/27 on slightly higher area, with yields returning to more typical levels following the current season's strong performance. Crush is projected to ease slightly to 42 MMT as margins soften, resulting in marginally lower soymeal production (31.9 MMT) while exports remain strong at 30 MMT. Soybean oil production and exports are forecast largely unchanged, supported by firm global vegetable oil demand. Post forecasts Argentina's sunflower area to expand by approximately 14 percent in MY2026/27 to 3.3 million hectares, continuing a multi-year upward trend following already strong gains in the previous two seasons. Peanut production is forecast to recover to 1.5 MMT as area stabilizes following last year's decline, though exports are expected to decrease slightly on weaker demand. Argentina's oilseed sector remains highly export-oriented, with global vegetable oil demand expected to drive crush and trade in the coming year.

Oilseeds

SOYBEANS

Production

Post forecasts Argentina's soybean planted area at 17.4 million hectares (MHA) a slight increase from the previous year driven by reduced corn acreage. Production is forecast at 49 million metric tons (MMT) on this expanded area. Soybean area in Argentina is well established and not expected to decline significantly regardless of prices or global demand. Most arable land is already under cultivation, and annual fluctuations in soybean area are primarily driven by crop rotation decisions and relative profitability between soybeans and corn. Additional land that could be brought into production is marginal, with lower yield potential and limited impact on total production. In some cases, land is considered marginal due to logistical constraints; improvements in infrastructure, particularly rail, could make these areas more competitive. However, such developments remain long term, and sustained higher global prices for years would be required to offset increased freight costs and incentivize expansion.

First Crop Soy in Southern Santa Fe Province



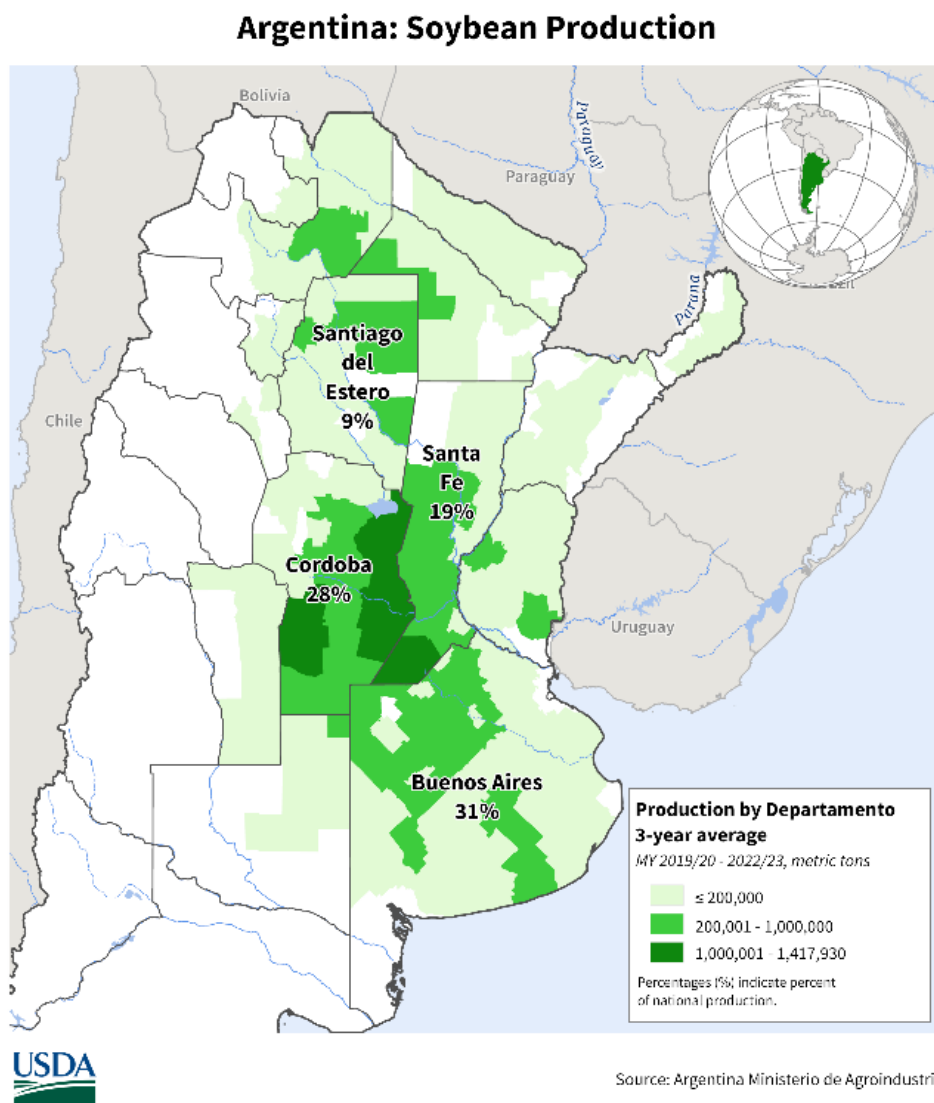
Source: Post FAS Buenos Aires

Soybeans continue to underpin Argentina's agricultural economy. There is consistently strong market demand, and soybeans function as a store of value in an environment with limited access to credit and a volatile currency. Producers frequently use soybeans to pay for land rent, inputs, and other expenses. Most expenses are priced in tons of soybeans. The presence of the significant domestic crush industry also ensures a stable market and that there is always a buyer for soybeans, as processors must maintain throughput and will continue purchasing soybeans throughout the year.

Argentina produces two soybean crops each year, commonly referred to as first soy (soja primera) and second soy (soja de segunda). First soy is typically planted from late October through mid to late

December and harvested from early April through the end of May. This crop represents the majority of total production with much higher yields.

Second soy is planted later, from late December into early January, immediately following the harvest of winter wheat, and is typically harvested from May through early July. It is commonly grown in a rotation system that includes corn followed by winter wheat, then soybeans. Due to its later planting window and shorter growing season on ground that already produced a wheat crop, second soy generally yields significantly less than first soy. In a typical year, including the MY2026/27 forecast, approximately 70 percent of total soybean area is planted to first soy, with the remaining 30 percent allocated to second soy.



Source: FAS International Production Assessment Division

Overall soybean area is expected to increase modestly, though not to its full potential. Some land previously allocated to corn will shift to sunflower rather than soybeans, while first-crop soybean area

will expand and second-crop soybean area will decline due to the forecasted reduced wheat planting. Lower wheat area is driven by higher input costs, particularly fertilizer, and weaker prices following the previous harvest. However, soybean area could increase more substantially under two scenarios. First, further increases in global fertilizer prices due to the conflict in the Middle East could incentivize a shift away from corn toward soybeans at planting. Argentina maintains minimal fertilizer stocks and is highly dependent on global supply, with concerns already emerging regarding future availability of urea. Even the perception of limited supply could influence planting decisions. Second, elimination of export taxes (known locally as *retenciones*) would significantly increase soybean area. While producers hope for policy changes, there is currently no indication from the government export taxes will be removed in the near term, given their importance to government revenue and foreign exchange. Partial reductions, as seen twice in the past year, would not shape planting decisions. Only a full and sustained elimination of export taxes would encourage an expansion in planted area, likely through conversion of pasture and marginal lands which were previously unprofitable to plant.

Despite the projected increase in area, yields are expected to decline slightly in MY2026/27, as many regions are currently experiencing historically high yields, particularly for second soybeans. Yields are expected to return to average levels under normal weather conditions. However, this outlook could shift if an El Niño pattern develops, which typically brings above-average precipitation to Argentina. Yield potential beyond MY2026/27 is expected to remain constrained without changes to Argentina's seed law. Argentina allows farmers to save and reuse seed without paying royalties, reducing incentives for private sector investment in improved genetics. Approximately 70 percent of Argentina's soybeans are planted with saved seed or seed procured through gray channels from dealers or other producers. While some in the industry recognize the potential value and gain of increased plant variety protections, which would allow newer and more cutting-edge soybean varieties to be planted in the country, many farmers and producer groups remain opposed.



Argentina's government is currently meeting with farm groups and multinational seed companies to reform the country's seed law. The proposed changes aim to strengthen intellectual property protections, potentially requiring farmers to pay royalties each time they plant seeds, and align Argentina with international standards such as the UPOV 1991 convention, which has sparked strong resistance among local producers. Farmers argue the reforms would increase production costs and restrict traditional practices like saving seeds, while the government and private sector contend that stronger patent protections are necessary to boost innovation, yields, and long-term export growth. Ongoing discussions seek a compromise to balance these competing interests, though tensions remain high with vocal opposition in the Congress.

Fertilizer prices will be a key factor in MY2026/27 and will likely shape final planted area. Fertilizer prices spiked by over \$200 per ton in Argentina in just one week after the operation in Iran sent global

fertilizer prices rising. At current prices, producers may be able to absorb some of the additional costs with less profit for themselves. But if fertilizer climbs any higher and remains there at planting, it could push more producers to favor soy over corn as soy has substantially less fertilizer requirements. Corn's higher nitrogen fertilizer costs could increase producers' production costs to the point of negative margins resulting in even more soy planted than Post currently forecasts. Even the perception of limited fertilizer availability or elevated prices, regardless of actual supply, could significantly shift acreage from corn to soybeans, sunflower, or other crops. With planting for MY2026/27 not beginning until November, there remains time for the situation to evolve, though producers are monitoring developments closely and are already wary. The U.S. harvest could play a role if fertilizer prices also influence planting decisions there, resulting in a larger soybean harvest that could depress global soy prices at the time most Argentine farmers plant their summer crops. As of writing, farmers are making their planting estimates and decisions based on current fertilizer prices but carefully watching prices.

While input costs will be higher for all crops next year, particularly fuel, this across the board increase is not expected to push acreage towards one crop or another. Fertilizer prices, however, will be a key determinant of planting decisions MY2026/27, with elevated costs favoring soybeans over corn due to lower input requirements, while a return to lower prices would likely stabilize soybean area near MY2025/26 levels. Reduced wheat and barley area is expected to shift some land into first-crop soybeans, although land rents, typically set as fixed costs based on forward soybean prices, may create financial pressure for producers.

Despite pressures on profitability, land rents are expected to remain elevated, as landowners face strong demand and have limited incentive to reduce rates. This environment may disproportionately impact smaller producers if input costs continue to rise and commodity prices weaken. Producers are also anticipating an El Niño year, which typically brings increased precipitation and warmer conditions. Representative planting allocations for larger producers are estimated at approximately 25 percent wheat/second soy, 40 percent first soy, and 35 percent corn. Soil moisture conditions at planting will remain a key determinant of production outcomes. While current crops benefited from strong initial moisture conditions that mitigated the impact of mid-season dryness, similar conditions are not expected for MY2026/27. However, a potential El Niño event could offset early deficits with increased rainfall during the growing season.

Soil moisture and reserves as the time of planting and early in the season will determine next year's production and yields. The current crop in most areas entered the season with great soil moisture and reserves. Because of this, many crops were able to weather and lessen the impact of a very dry late December into mid-February. Soil moisture is unlikely to be as favorable at the time of planting MY2026/27, forecasting lower yields than the previous year. At the same time, producers expect an El Niño year which could bring significant, potentially excess, rainfall during the summer growing season.

First Crop Soybeans in Southern Cordoba Province



Source: Post FAS Buenos Aires

Consumption and Crush

Soybean crush is forecast at 42 MMT, down 1 MMT from the previous year with decreased supply from Paraguay, as Paraguayan production decreases from the all-time record the year prior and projected slightly lower crush margins. Crush in MY2026/27 is expected to normalize to MY2024/25 levels, remaining well above the ten-year average of 38.9 MMT. Argentina is expected to maintain its position as the world's leading exporter of soymeal and soy oil, supported by one of the largest and most developed crush industries in the world. The sector is highly concentrated along the Parana River system, primarily in Santa Fe province around the ports in Rosario.

In MY2026/27, approximately 86 percent of Argentina's soybean production is projected to be processed domestically, slightly below the previous year's elevated level of 90 percent but consistent with historical trends in recent years.

Crush margins in Argentina remain high and have been strong for an extended period, currently estimated at approximately \$30-35 per ton, well above the typical target range of \$20-25. Industry contacts expect margins to moderate in the coming marketing year, as sustained high margins are uncommon, particularly in the context of a large Brazilian crop and a forecast increase in U.S. soybean production. Currently, high soybean oil prices are supporting favorable crush margins, and to a lesser extent soymeal prices.

Developments in global soybean meal and oil markets will influence crush levels going forward. Strong soybean oil prices have been a key driver of increased crushing activity, and traders expect these prices to remain firm. If soybean oil prices continue at current levels, they will provide continued incentives for crushers to maintain high utilization rates, potentially sustaining crush volumes near those observed in the previous year.

Argentina currently has 345 crushing facilities with a combined annual crush capacity of 67 MMT. Roughly 80 percent of this capacity is concentrated in Santa Fe province where crushers benefit from direct access to the Paraná River and well-developed infrastructure. This is not expected to expand in the near future as the industry already operates with significant underutilized capacity. The river system allows for efficient logistics, with ocean-going vessels able to load right at the crushers, while shipments originating further upriver are transported to the Rosario hub for transshipment onto larger vessels

With a crush of 42 MMT, Argentina's crush capacity will once again be greatly underutilized with a use capacity of only 63 percent in MY2026/27

Feed, Seed, and Waste Use

Domestic consumption of soybeans for feed, seed, and waste is forecast to remain stable in MY2026/27. While growth continues incrementally in Argentina's poultry, pork, and dairy sectors, these remain relatively small in scale. Nonetheless, rising beef prices may gradually shift consumer demand toward more affordable protein sources such as chicken and pork, potentially boosting domestic demand for soybean meal.

An increasing share of soybean processing for feed is occurring outside of the traditional industrial sector. Small-scale crushing operations have emerged across Santa Fe, Buenos Aires, and Entre Ríos provinces. These facilities, often owned by local cooperatives or livestock producers, serve as alternative market channels, reducing the cost of transporting soybeans to major crushing centers. Locally produced soybean meal and oil are increasingly used in on-farm or regional feed rations, particularly in pork and poultry operations.

Food Use Consumption

Argentina has negligible food use consumption. The majority of soy for human consumption domestically is in the form of soybean oil.

Trade

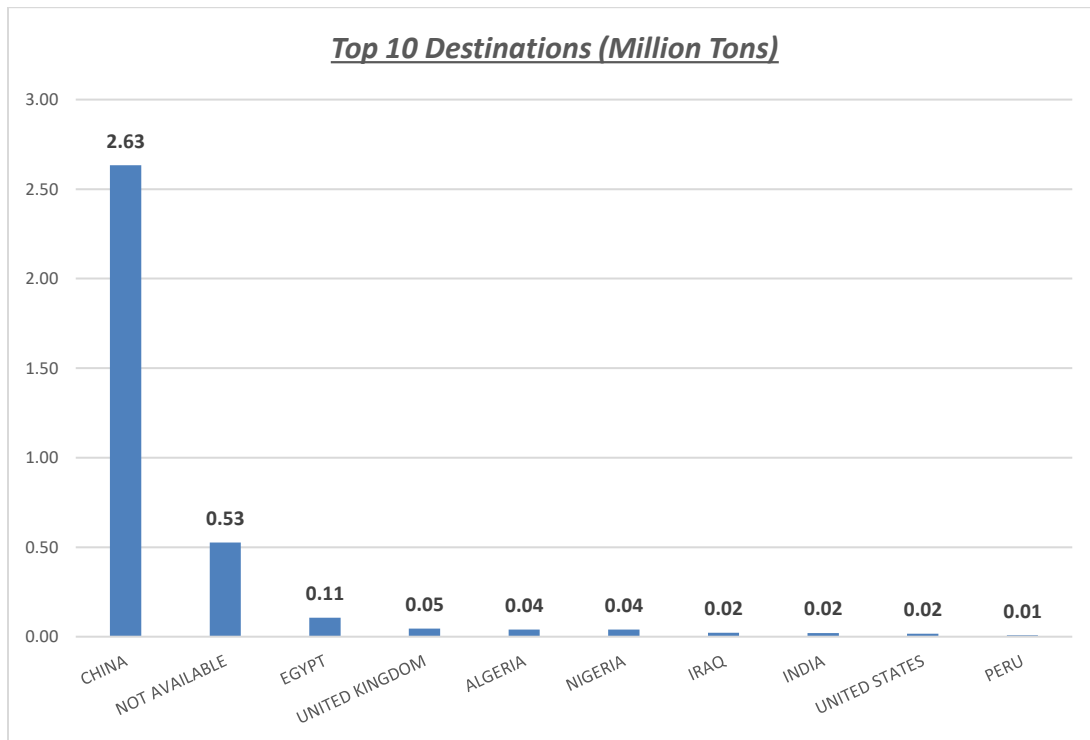
Post forecasts MY2026/27 soybean exports at 5.5 MMT, unchanged from the prior year, reflecting steady Chinese demand for Argentina's whole soybeans.

Nearly all of Argentina's soybeans exports will once again be destined for China. China traditionally buys more than 90 percent of Argentina's whole soybean exports, nearly all of which are shipped out of the ports in southern Buenos Aires Province of Bahía Blanca and Necochea where the growing area produces lower quality soybeans with lower yields and protein. With no crushing facilities in this region and the production area far from the crushing industry and main port in Rosario, nearly all the soybeans in this area are exported whole.

Whole soybean exports in MY2026/27 are expected to remain in line with the previous year but significantly below the elevated levels observed in MY2024/25, which marked the second-highest export volume on record. The surge in MY2024/25 exports was driven by the government's temporary elimination of export taxes, which accelerated farmer selling and export registrations.

This policy-driven increase is considered a one-time event and is unlikely to be repeated under normal market conditions. During this period, China emerged as the dominant buyer, capitalizing on increased Argentine supply as producers and traders moved quickly to market volumes, particularly at a time when Chinese purchases from the United States were limited. The remainder of Argentina’s soybeans not shipped to China will be exported to the United States again. Chile is expected to remain a distant third market. In addition, Post contacts report it is likely some of Argentina’s soybeans will cross the border to Brazil for local processing and feeding there in the coming marketing year.

Argentina Top Soybean Export Markets Calendar Year 2025



Source: *Post with data provided by Nabasa, a local shipping agent, as Argentine official trade data includes exports under the market “confidential” by which companies are able to obscure the final destination for shipments.*

Export taxes (known locally as *retenciones*) on soy and soy products remain high despite the administration’s promises to eventually eliminate them. Soybeans are currently taxed at 24 percent. The industry continues to call for a reduction or elimination of these taxes. Including most recently in March 2026 when the President of Sociedad Rural Argentina (SRA), the most influential ag. group in the country called on the president to lower *retenciones*. Elimination of *retenciones* could have a significant impact in spurring much higher soybean exports in MY2026/27, as seen the recent tax holiday. However, there is no current indication from the government they plan to eliminate them.

On September 22, 2025, the Argentine government announced the temporary elimination of export taxes on major agricultural commodities, including soybeans and coproducts, corn, wheat, sorghum, barley, sunflower, beef, and poultry. The measure set export taxes at zero until October 31 or until export

declarations reach \$7 billion, whichever occurred first. The announcement came as Argentina faced currency pressures and just ahead of mid-term elections.

The move came at a crucial moment for Argentina as the Milei Administration continues to enact its fiscal reform policies and strive to stabilize the nation’s currency. In addition, the October 31 end-date of the temporary tax elimination was just five days after key mid-term elections, which were seen as a referendum on support for Milei and his reforms. President Milei and his administration hoped to pick up seats in Congress in the mid-terms after a recent key provincial election swung significantly against his party.

The temporary tax holiday had the intended effect with Argentina selling the \$7 billion limit set in less than 72 hours, nearly all to the PRC which swooped in at an opportune moment to buy soybeans at a discount during a tense time in the U.S.-PRC relationship when it was not buying from the United States. This helped the peso to stabilize, and President Milei’s party picked up seats in Congress.

The measure came as an unexpected surprise across the agricultural sector. Several major industry groups welcomed the announcement, noting it aligns with their longstanding calls to reduce export taxes and provide short-term relief. However, many industry leaders and groups emphasized that the measure is insufficient on its own, stressing the need for a long-term policy framework, or permanent elimination of [export taxes to support sustained growth and investment in the sector](#).

Following this temporary lifting, on December 9, 2025, Argentina permanently lowered export taxes for the second time that year.

Retenciones rates are currently set at:

Commodity	Previously	Now
Soybeans	26%	24%
Soybean By-products	24.5%	22.5%
Wheat	9.5%	7.5%
Barley	9.5%	7.5%
Corn	9.5%	8.5%
Sorghum	9.5%	8.5%
Sunflower	5.5%	4.5%

Imports will decrease slightly in MY2026/27 to 6.5 MMT, down 500,000 MT with Paraguayan production forecast down from the previous year and increased domestic crush in Paraguay resulting in less exportable supplies from Argentina’s number one supplier. Small volumes will be imported from Brazil and Uruguay, and to a lesser extend Bolivia, to meet crushing demand.

Soybean imports have remained high since 2016 after the Argentine government permitted the importation of foreign soybeans for further processing in domestic crush facilities. Argentine crushers will continue to import Paraguayan soybeans due to their higher protein content and blend with local soybeans to raise the overall protein content of the resulting soy meal and oil and to maintain higher crush utilization rates in their Argentine plants. In addition, the efficiency of the developed infrastructure

along the Parana riverway makes it more economical and easier to import beans from Paraguay to crush than to source from farther afield in the Argentine growing areas which must be trucked in.

Stocks

Post forecasts beginning stocks at 5.15 MMT in MY2026/27, up from the previous year, which opened with below-average stocks following record soybean exports in MY2024/25. Ending stocks are projected to increase to 8.15 MMT on higher production and a return to more typical crush and export patterns.

Argentine producers typically sell corn, wheat, and other crops shortly after harvest to meet financial obligations but retain soybeans as a store of value in a volatile macroeconomic environment. Contacts indicate producers are holding larger stocks in anticipation of improved prices and potential changes to export taxes. While crushers generally maintain inventories equivalent to two to three months of processing needs, the majority of soybean stocks are held on-farm in silo bags, allowing producers flexibility in marketing decisions.

MY2025/26

Post maintains the previous estimate of 48 MMT of soybeans in MY2025/26. Yield outcomes and crop conditions across Argentina's primary soybean-producing region, the "zona núcleo," vary significantly even over short distances. In the area surrounding Nueve de Julio, excessive rainfall and flooding during the off-season and planting period were followed by a prolonged dry spell, resulting in deteriorating crop conditions and declining yield potential as the lack of precipitation persists. In contrast, areas located approximately 100 kilometers away have received timely rainfall following a dry January and early February, supporting strong crop development and, in many cases, near-record yields. Favorable conditions are reported in southern Santa Fe, southern and central Córdoba, and northern Buenos Aires provinces.

In northern Buenos Aires province, soybean crop conditions are reported as very good, with first soy yields expected to reach 4.5 to 5.0 MT/HA and second soy yields forecast at approximately 2.6 MT/HA. Later-planted soybeans have generally benefited from the timing of the dry period, as crops were at less sensitive growth stages. Despite higher production costs for corn—estimated at approximately \$560 per hectare in central Buenos Aires compared to \$450 per hectare for soybeans—producers continue to favor corn due to its stronger profitability, supported in part by lower export taxes. At the same time, soybean production costs are increasing due to the spread of herbicide-resistant weeds, including amaranth, which adds an estimated \$25 per hectare in additional chemical control costs.

Post maintains its previous forecasts for imports and crush. Imports are forecast at 7 MMT, up from the previous year due to larger production in Paraguay, resulting in more exportable supplies. The previous crush estimate of 43 MMT in MY2025/26 stands based on these expected imports from Paraguay.

Post lowers exports by 500,000 MT to 5.5 MMT based on the expected increase in crush and domestic demand returning to normal levels after dipping the year before (with more supply diverted to abnormally high exports).

MY2024/25

Post lowers MY2024/25 soybean imports by 5 MMT from Post's last update due to import pace to date with only one month remaining in the marketing year. Year to date 4.97 MMT have been imported with only one month of date remaining. While the Paraguayan harvest has begun offering more available supply, it is unlikely to exceed 1 MMT imports in March.

Farmer selling has decreased and stalled recently as farmers both have already sold much of their old crop soy and are also reportedly holding out to sell remaining supply with the hopes that President Milei will lower export taxes soon as he did in the previous crop year near the end or after the harvest.

Oilseed, Soybean (Local) Market Year Begins Argentina	2024/2025		2025/2026		2026/2027	
	Apr 2025		Apr 2026		Apr 2027	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	17455	17500	17300	16500	0	17400
Area Harvested (1000 HA)	17455	16900	16800	15900	0	17100
Beginning Stocks (1000 MT)	6749	6749	3857	3649	0	5149
Production (1000 MT)	51108	50500	48000	48000	0	49000
MY Imports (1000 MT)	6300	5800	7800	7000	0	6500
Total Supply (1000 MT)	64157	63049	59657	58649	0	60649
MY Exports (1000 MT)	12500	12500	4600	5500	0	5500
Crush (1000 MT)	41000	42000	42500	43000	0	42000
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	6800	4900	6900	5000	0	5000
Total Dom. Cons. (1000 MT)	47800	46900	49400	48000	0	47000
Ending Stocks (1000 MT)	3857	3649	5657	5149	0	8149
Total Distribution (1000 MT)	64157	63049	59657	58649	0	60649
Yield (MT/HA)	2.928	2.9882	2.8571	3.0189	0	2.8655
(1000 HA) ,(1000 MT) ,(MT/HA)						

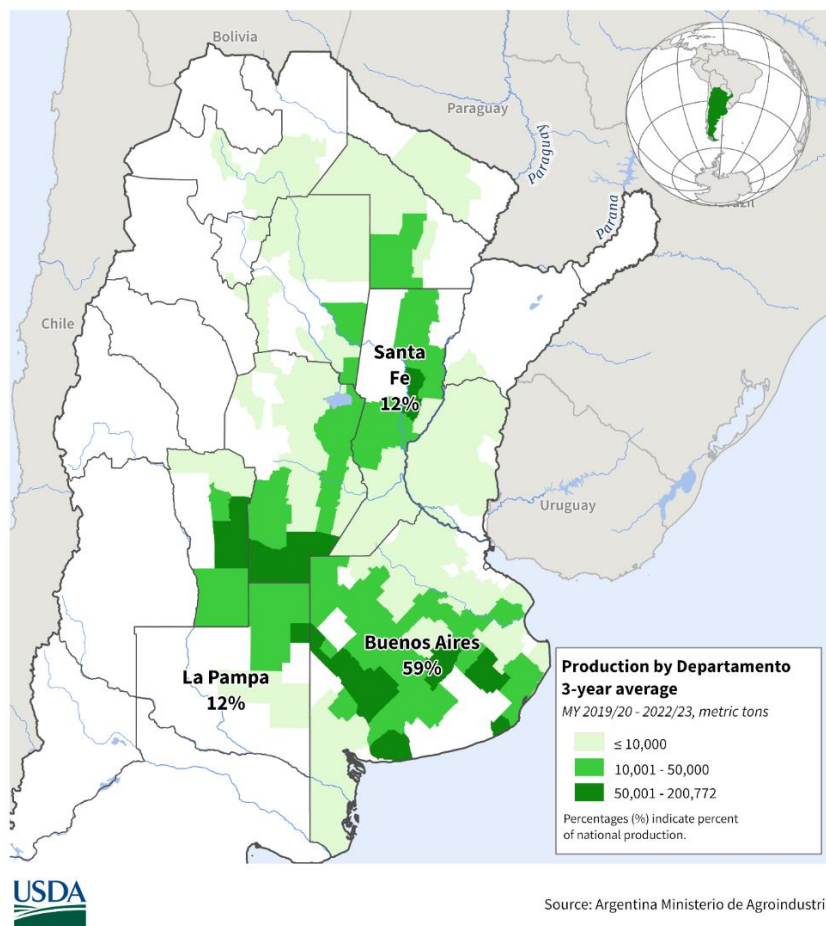
SUNFLOWERSEED

Production

Post forecasts Argentina's planted sunflower area to expand by approximately 14 percent in MY2026/27 to 3.3 million hectares, continuing a multi-year upward trend following already strong gains in the previous two seasons. While production is projected to increase more modestly, by roughly 300,000 metric tons year-on-year, this forecast assumes a return to average yields after the exceptionally strong yields seen in the current season. If yields approach or reach this year's record levels, total production could outpace current projections and rise substantially.

The expected expansion in area is driven primarily by sustained favorable prices. Sunflower prices have remained attractive for three consecutive years, incentivizing both existing producers and new entrants to incorporate the crop into their rotations. At the same time, relatively weaker corn and soybean prices have improved sunflower's comparative profitability, particularly at times of planting decisions. Input costs will also play a critical role as sunflower's lower fertilizer requirements make it an increasingly attractive alternative to corn, especially in an environment of persistently high or volatile fertilizer prices.

Argentina: Sunflowerseed Production



Source: FAS International Production Assessment Division

Yield gains also support continued growth. Producers report consistently improving yields over recent seasons, reinforcing confidence in the crop and encouraging adoption through both direct experience and observation of neighbors. Sunflower is also well suited to marginal production areas where corn and soybeans are less competitive, allowing for expansion into drier regions. Its relative tolerance to heat and moisture stress has been demonstrated during recent hot and dry summer periods in the past three seasons which further its appeal as a less risky crop. Additionally, sunflower fits well within existing crop rotations, particularly with wheat, further supporting its expansion.

At the same time, in contrast to soybeans, investment in new and improved sunflower genetics continues in Argentina as the crop grows in popularity and the market for it continues with favorable prices. This will boost production and yields in the coming marketing year and beyond.

Producers in the northern growing regions of Chaco Province, Santiago del Estero Province, and Salta Province were able to plant their intended sunflower area in MY2025/26 following two consecutive seasons in which insufficient soil moisture and lack of rain at planting limited planting progress.

Favorable weather conditions and resulting yields this year are expected to reinforce producer confidence in sunflower as a viable crop option in these marginal production zones. Given sunflower's relative tolerance to drier conditions compared to corn and soybeans, Post expects area in these regions to remain stable or expand modestly in the coming crop year, assuming a return to normal precipitation patterns. Which the expectation of an El Niño year supports.

Sunflower cultivation remains concentrated in west-central and southern Buenos Aires, La Pampa, and the northern growing regions of Chaco and northern Santa Fe. However, recent seasons have seen sunflower production expand into non-traditional areas, driven by positive production and economic outcomes. Producers in marginal zones, previously considered unsuitable for sunflower, have reported good yields and economic returns, fostering optimism about the crop's potential. Industry sources suggest this expansion will likely persist in MY2026/27 and beyond.

Producers continue to express concern regarding the high degree of concentration in the domestic sunflower market, which is largely controlled by a limited number of processors. These facilities are primarily located in Buenos Aires Province and Santa Fe Province, resulting in higher transportation costs for producers in northern regions who must ship production distances of up to 850 kilometers to access processing capacity. Industry contacts also note that limited price transparency and the absence of widely accepted reference pricing mechanisms constrain producers' ability to effectively market their crop. Nevertheless, despite these structural challenges, Post expects sunflower planted area to expand in MY2026/27, supported by favorable relative profitability and strong international demand.

Sunflowers in Central Buenos Aires Province



Source: Post FAS Buenos Aires

Consumption and Crush

Sunflower seed crush is forecast up slightly to 5.6 MMT in MY2025/26, a five percent increase from a year prior. More than 80 percent of Argentina's sunflower seed production is expected to be processed domestically and exported as value-added products.

While many crush facilities in Argentina are capable of processing multiple oilseeds, including sunflower, most operators have been reluctant to switch from soybeans due to the additional costs and processes required to crush other oilseeds in the same plant. However, this dynamic is beginning to shift as sunflower crush margins remain highly attractive. Although official margin data are not publicly available, industry contacts estimate current sunflower crush margins at as high as \$180 per ton. Market participants expect these favorable margins to persist into the next marketing year, incentivizing greater utilization of existing capacity for sunflower processing. In addition, a new sunflower-dedicated crushing facility is expected to begin operations during MY2025/26 and reach full capacity in MY2026/27, further supporting increased crush volumes and creating another buyer for the increased crop.

Domestic consumption of sunflower seed in Argentina remains limited, as the sector is largely oriented toward the export of processed products, particularly oil and meal. The small share of whole sunflower seed consumed locally is primarily seed for the following crop, with only minimal volumes directed to the food processing and confectionary sectors.

Trade

Post forecasts whole sunflower seed exports steady at 900,000 MT, the same as the previous year. However, this is up substantially from MY2024/25. Exports in MY2025/26 are forecast up 45 percent from the previous year driven by demand from markets in Eastern Europe.

Sunflower seed exports are expected to increase significantly, reaching up to 10 percent of total production, compared to historically negligible levels of less than 1 percent. This growth is driven primarily by demand from European markets, including Bulgaria and Romania, which have faced higher costs and supply constraints sourcing from Ukraine. As a result, the share of Argentina's sunflower seed production processed domestically is projected to decline modestly, with more than 80 percent expected to be crushed, compared to typical levels exceeding 95 percent in most years. Absent a resolution to the conflict in Ukraine, these elevated levels of whole seed exports are expected to persist into MY2026/27.

However, these exports recently encountered a setback. In late March shipments of Argentine sunflower seed to Bulgaria were found to exceed EU maximum residue limits (MRLs) for certain insecticides, including deltamethrin, with three cargos testing double above permitted levels. As harvest is already underway, exporters have limited ability to adjust practices for the current crop year, raising the risk that some volumes initially destined for export may be redirected to the domestic crush sector.

While affected shipments have not been rejected outright, importers declared the product may be re-exported to alternative markets with higher MRL thresholds or diverted to industrial uses such as biodiesel in the EU. Additional cargos currently in transit are expected to face similar testing upon arrival. Looking ahead, industry contacts anticipate the issue will be addressed by MY2026/27 through adjustments in crop protection practices and compliance protocols. If not, any constraints on these exports to the EU would likely result in increased Argentine domestic crush and subsequent exports of processed products.

In December 2025, the government once again permanently lowered export taxes, down to 4.5 percent on sunflower seed from 5.5 percent and previously 7 percent before January 2025. While this lower tax was welcomed by industry and marginally boosts profitability of the industry, the increase in whole sunflower seed exports is attributed more to external demand and prices than the lower export tax.

Argentina's sunflower sector is benefiting from a highly favorable global supply-demand balance, positioning the country to expand its role in international markets. According to industry sources, tightening global availability has created a strategic opportunity for Argentine exports, as competing suppliers, most notably Ukraine, have become less competitive. Reflecting this shift, the global sunflower stocks-to-use ratio has declined, indicating a significantly constrained supply environment. In this context, Argentina's share of global trade is expected to increase, supported by its strong production outlook and export capacity. A similar tightening is observed in the sunflower oil market, further reinforcing upward pressure on prices.

These global dynamics have translated directly into improved domestic price signals. International sunflower oil prices remain elevated, supporting higher local prices and improving crush margins. As a result, domestic sunflower seed prices have strengthened, with current values above \$400 per MT for June to August delivery. Industry contacts note that this combination of tight global supplies, strong

prices, and robust export demand has created a favorable commercial environment, reinforcing sunflower's position as one of Argentina's fastest growing agricultural export sectors.

Stocks

In contrast to soybeans, very little sunflower seed stocks are held on farm. The majority of stocks are held by processors but in general Argentina's sunflower seed stocks are very low. Stocks are forecast even lower than average due to increased domestic crush and exports.

MY2025/26

Post raises MY2025/26 sunflower production to 6.5 MMT, up significantly from the previous year and Post's last update, on record high yields reported to date and increased planted area of 2.9 MHA (based on field reports and conversations with Post contacts). This would be near record production not seen since the late 1990's.

The MY2025/26 sunflower harvest is underway with 61 percent of this year's crop harvest completed as of writing, according to the Bolsa de Cereales.

This higher production is boosted by exceptionally high yields particularly in the key growing areas of Chaco and Santiago del Estero provinces, as well as central to northern Cordoba.

Despite the otherwise favorable outlook, moisture deficits in southern production areas present a key downside risk to final yields. Dry conditions have intensified in parts of southern Buenos Aires and La Pampa Provinces, where the share of sunflower crop rated as dry to poor has increased. However, about 40 percent of the crop in this area remains in reproductive stages, with yield outcomes still developing and likely to be influenced by recent and expected rainfall in the coming weeks.

Both crush and exports are forecast to increase significantly in MY2025/26 with higher supply, high crush margins, and demand for whole sunflower seed exports from the EU.

Sunflower Seed Production, Supply, and Demand Statistical Table

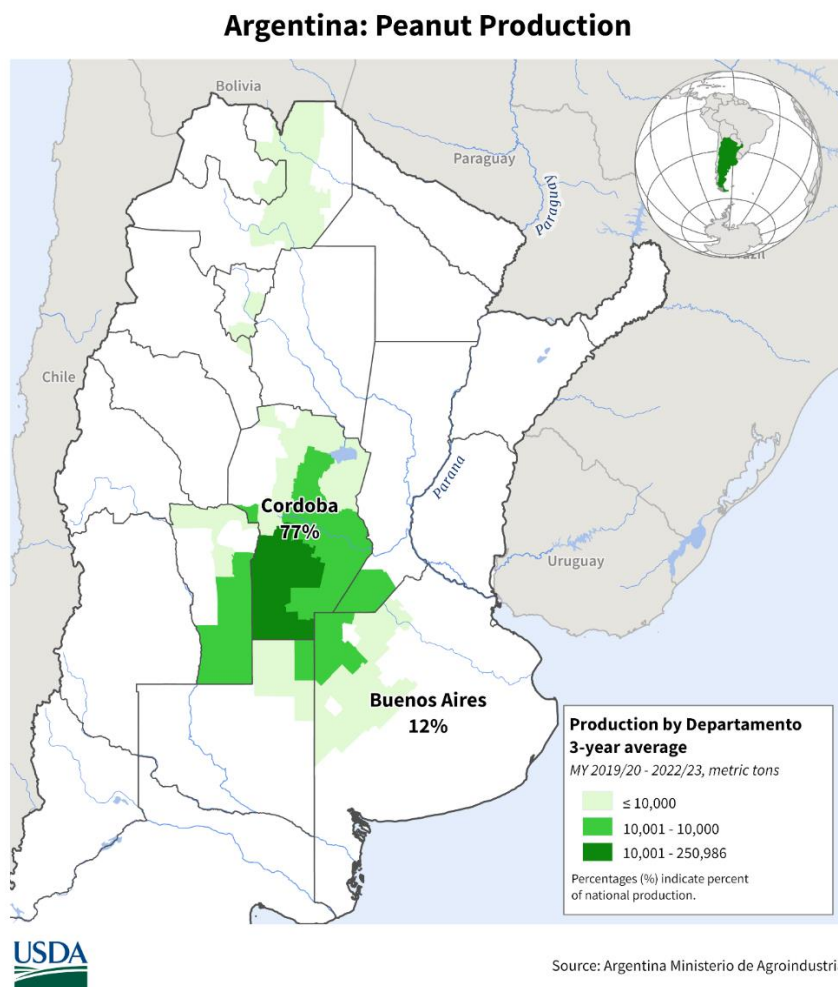
Oilseed, Sunflowerseed Market Year Begins	2024/2025		2025/2026		2026/2027	
	Mar 2025		Mar 2026		Mar 2027	
Argentina	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	2397	2200	3000	2900	0	3300
Area Harvested (1000 HA)	2397	2150	3000	2850	0	3300
Beginning Stocks (1000 MT)	820	820	688	564	0	559
Production (1000 MT)	5592	5500	7000	6500	0	6800
MY Imports (1000 MT)	1	1	1	0	0	0
Total Supply (1000 MT)	6413	6321	7689	7064	0	7359
MY Exports (1000 MT)	475	624	600	900	0	900
Crush (1000 MT)	4850	4828	5500	5300	0	5600
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	400	305	575	305	0	305
Total Dom. Cons. (1000 MT)	5250	5133	6075	5605	0	5905
Ending Stocks (1000 MT)	688	564	1014	559	0	554
Total Distribution (1000 MT)	6413	6321	7689	7064	0	7359
Yield (MT/HA)	2.3329	2.5581	2.3333	2.2807	0	2.0299
(1000 HA) ,(1000 MT) ,(MT/HA)						

PEANUT

Production

Post forecasts Argentina's peanut production at 1.5 MMT in MY2026/27, driven by a modest recovery in planted area as the sector returns to more typical levels following last year's contraction. Planted area is projected at 420,000 hectares, up 30,000 hectares from MY2025/26, with yields expected to average slightly above trend at 3.6 MT/HA.

Peanut area declined sharply in MY2025/26 following a surge the previous year, when strong prices at planting encouraged expanded area. However, prices fell significantly by harvest, reducing returns and discouraging producers. In addition, some first-time growers were discouraged by the experience of growing peanuts, as they require more complex management than competing crops.



Source: FAS International Production Assessment Division

As a result, acreage is expected to stabilize in MY2026/27, with the sector returning to an equilibrium following recent swings.

High fertilizer costs will be another factor pushing more acreage to peanuts as peanuts have no fertilizer requirements. Peanuts could become a viable option for producers to plant in place of corn if fertilizer prices continue to rise.

Córdoba will remain the center of Argentina's peanut production and processing sector, accounting for approximately 68 percent of total output. Production has expanded beyond its traditional core, with northern Buenos Aires projected to account for roughly 18 percent, while southern Santa Fe and northern La Pampa comprise a growing share of planted area. However, crop rotation requirements, which limit peanut cultivation on the same field to once every three to seven years, are constraining further expansion of acreage in established growing regions. As a result, production is expected to continue shifting into new areas in MY2026/27, particularly in northern Buenos Aires, southern Santa Fe, and San Luis. This geographic dispersion reflects processors' need to secure additional contracted acreage and sustain throughput for their facilities while balancing rotational constraints.

Peanuts in Southern Cordoba Province



Source: Post FAS Buenos Aires

Logistics and transportation costs prevent Argentina's peanut production from increasing or moving into new areas as it must be transported to be processed and then transported again for export. Industry sources generally consider it unfeasible to grow peanuts if they must be transported more than 100 km to processors as the trucking prices make them unprofitable.

Rent prices have come down this season and will remain the same in the coming marketing year though not as much as processors would have hoped. Land rent makes up over 50 percent of processors' production costs. But strong world peanut oil prices are expected to be a factor in the prices offered to growers in MY2026/27. With prices of \$600/MT producers will manage to be profitable.

Any future growth in Argentina's peanut area is tied to processing capacity as processors contract only the acreage they are able to handle. Given that nearly all peanut production in Argentina is grown under contract, expansion is largely determined by the industry's processing capacity. As a result, growth in planted area would need to be precipitated by investments in increased processing capacity or opening of new plants.

Consumption and Crush

Crush remains flat at 250,000 MT in MY2026/27 as most of Argentina's peanuts will continue to be blanched and exported, rather than crushed.

A new peanut processing facility in northern Buenos Aires Province is expected to become operational in MY2026/27 following delays, increasing processing capacity in the sector. As the first facility located outside Argentina's traditional peanut production and processing region, it is expected to support area expansion in the surrounding region over time. The plant is reportedly designed to process between 100,000 and 150,000 MT annually and is expected to operate at approximately 75–80 percent of capacity in MY2026/27.

Post's contacts estimate that with this addition, Argentina's total peanut processing capacity will reach 850,000 MT per year.

Post industry contacts note that there is potential for Argentina to expand its production of higher value-added peanut products, particularly peanut paste and blanched peanuts for export. Argentina's competitive cost structure for processing, including sorting and further value-added operations, positions it at an advantage over other suppliers. These cost advantages may encourage a reallocation of processing activity toward Argentina over time. In combination with new favorable taxes to the European Union, this could support increased Argentine production and exports of processed peanut products.

Domestic peanut consumption in Argentina is forecast to remain flat in MY2026/27. The country does not have a strong cultural tradition of peanut consumption, and the crop remains overwhelmingly export-oriented. While peanut-based products, particularly peanut butter, have become more visible in urban retail markets in recent years, this is a relatively new trend. Industry sources indicate that growth in this segment is expected to remain limited over the near to medium term.

Most domestic peanut usage occurs in the form of snacks or specialty food products within the food processing, bakery, and retail sectors. While consumer interest in peanuts and peanut-derived products is gradually increasing, overall consumption volumes remain low by international standards and are unlikely to shift materially in the upcoming marketing year.

Peanut crushing activity in Argentina remains minimal and is projected to hold steady in MY2025/26, despite a significant surge in production in the prior year. The vast majority of Argentine peanut production is destined for export, primarily to the confectionery market, leaving limited volumes for domestic processing or oil extraction.

Argentina's peanut sector is vertically integrated, with approximately 25 companies controlling nearly all national production through contractual arrangements with growers. While a small number of independent producers operate outside this structure, they are the exception rather than the norm. These integrated firms manage planting, harvesting, processing, and export operations, allowing for greater control of quality, traceability, and marketing.

Peanuts in Southern Cordoba Province



Source: Post FAS Buenos Aires

Trade

Exports are forecast to decline slightly to 850,000 MMT in MY2026/27, reflecting weaker international demand from the prior year, particularly from China. Despite this slight reduction, Argentina is expected to remain the world's top peanut exporter, even as it ranks as the sixth largest producer globally.

The vast majority of Argentine peanut exports are shipped shelled and blanched, with in-shell exports comprising only a negligible share of total shipments. Nearly all of Argentina's peanut exports will be destined to the EU once again, where they are sought after for their high quality, flavor profile, and low aflatoxin rates.

China, another major exporter, re-entered the Argentine peanut market in MY2025/26 for the first time in many years, providing a temporary boost to export demand. According to Post contacts, Chinese buyers likely sold lower-quality domestic supplies into processing channels overseas at higher-prices and turned to Argentina to secure higher-quality peanuts for food consumption, taking advantage of their relatively low prices this year. However, this demand is viewed as opportunistic and is not expected to persist into MY2026/27, contributing to Post's forecast for lower exports.

The recently signed EU-MERCOSUR trade agreement includes provisions to gradually eliminate tariffs on EU imports of peanut butter and peanut paste from Argentina. If implemented, these measures could enhance Argentina's competitiveness in the EU market, supporting increased exports and incentivizing further production of these value-added peanut products. However, domestic consumption of peanut

butter and related products in Argentina is expected to remain limited, with little indication of any meaningful growth.

In January 2025, the Argentine government permanently eliminated export taxes on peanuts. Although the removal of export duties was welcomed by producers and exporters, it is not expected to result in a significant increase in exports as the sector was already nearly fully export-oriented, and the tax reduction alone will not expand trade.

Stocks

Stocks are forecast nearly equal as demand continues for Argentina's peanuts overseas and processors will have worked through the large carry-in stocks from the MY2024/25 bumper harvest with processing and exports normalizing.

Virtually all peanut stocks in Argentina are held by processors, who maintain inventory to ensure year-round operation of shelling, blanching, and export facilities. Stock retention at the farm level is negligible, as most peanuts are grown under contract and delivered directly to processing firms upon harvest. This vertical integration structure enables processors to manage their supply flow efficiently and plan export shipments according to market demand and logistics.

MY2025/26

Post lowers peanut production in MY2025/26 to 1.38 MMT on lower planted area of 390,000 MT based on crop surveys and conversations with Post industry contact.

Overall crop conditions are rated good, although portions of western Córdoba Province were negatively impacted by earlier-season moisture deficits and are currently rated fair. Recent rainfall is expected to improve conditions in these areas. Most of the crop is in the pod formation and grain-filling stages, while later plantings in the northern region remain in the flowering stage. No significant pest or disease pressure has been reported.

Key peanut-producing regions experienced an extended dry period of approximately 45 days, which limited yield potential. Rainfall returned in mid-February and has remained favorable since, stabilizing crop conditions. However, the earlier moisture deficit prevented the crop from reaching the record yields initially anticipated. Yields are still expected to be good, though below earlier expectations.

Harvest is expected to be slightly delayed as a result of the earlier dry conditions. Digging is projected to begin in mid-May, with harvest typically occurring 10–14 days later, contingent on favorable weather during the digging and drying period.

Peanut Production, Supply, and Demand Statistical Table

Oilseed, Peanut Market Year Begins	2024/2025		2025/2026		2026/2027	
	Mar 2025		Mar 2026		Mar 2027	
Argentina	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	532	532	450	390	0	420
Area Harvested (1000 HA)	532	532	410	390	0	420
Beginning Stocks (1000 MT)	453	453	608	764	0	519
Production (1000 MT)	1810	1865	1350	1385	0	1525
MY Imports (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	2263	2318	1958	2149	0	2044
MY Exports (1000 MT)	1150	1081	1150	1200	0	850
Crush (1000 MT)	300	298	200	250	0	250
Food Use Dom. Cons. (1000 MT)	80	95	80	95	0	95
Feed Waste Dom. Cons. (1000 MT)	125	80	80	85	0	85
Total Dom. Cons. (1000 MT)	505	473	360	430	0	430
Ending Stocks (1000 MT)	608	764	448	519	0	764
Total Distribution (1000 MT)	2263	2318	1958	2149	0	2044
Yield (MT/HA)	3.4023	3.5056	3.2927	3.5513	0	3.631
(1000 HA) ,(1000 MT) ,(MT/HA)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

RAPESEED

Production

Rapeseed remains a minor crop in Argentina, with planted area expected to decline further in MY2026/27. Limited adoption is largely driven by crop management factors and rotational constraints, as the crop must be planted early in the winter season, complicating the timing of the subsequent soybean planting. Producers report that second-crop soybeans planted after rapeseed generally yield less than those following wheat or barley, reducing its attractiveness within typical crop rotations. As a result, rapeseed is expected to remain a niche crop with limited area expansion prospects.

OTHER OILSEEDS

Other winter oilseeds such as carinata, camelina, and safflower have been gaining some ground in Argentina but also remain marginal crops. There are reports these two crops combined could have more planted acreage than rapeseed in Argentina. One industry analyst estimates 45,000 HA.

Growth in these crops is driven by growing global demand for certified low-carbon feedstocks for biofuel production. These niche crops are currently planted under contract-based production systems, in which companies provide inputs and purchase the full harvest for processing and export. These crops are typically incorporated into rotations to replace fallow periods between summer crops, allowing producers to generate additional income without directly competing for area with major crops such as soybeans or corn. Their expansion is supported by increasing interest from energy markets and sustainability-driven supply chains, particularly in export-oriented biofuel sectors.

Adoption remains limited but is supported by crop management and environmental benefits, including improved soil structure, increased water infiltration, and reduced. Crop selection is region-specific, with rapeseed better suited to more humid areas, safflower to drier regions, and camelina offering flexibility due to its short cycle and low water requirements. Despite these advantages, yields remain below those of traditional winter crops such as wheat, and broader expansion will depend on continued development of production knowledge, contract structures, and sustained demand for low-carbon biofuel inputs.

One multinational has been investing in and encouraging the production of carinata for sustainable aviation fuel (SAF) production. Another small facility was built in recent years to process carinata in southern Santa Fe province. This company is paying farmers to grow it and is encouraging some growth but still in on a very small scale and the trend is not growing beyond the immediate area. The facility cleans the seed and exports nearly all of the product to Europe for crushing and processing.

Rapeseed Production, Supply, and Demand Statistical Table

[illegible]

Meals

Production

Soymeal production is forecast to decline 2 percent to 31.9 MMT in MY2026/27, reflecting a modest reduction in crush driven by weaker margins and lower soybean imports from Paraguay (as its production returns to more typical levels). Despite this decline, Argentina is expected to remain one of the world's leading oilseed processors and a dominant global supplier of protein meals, primarily derived from soybean and sunflower seed crushing.

Argentina's soybean crop is typically characterized by lower protein content. Crushers routinely import higher protein soybeans from Paraguay and blend them with domestically produced meal to raise overall protein levels.

Sunflower meal production is forecast to increase to 2.5 MMT in MY2026/27, marking a second consecutive year of growth, driven by higher sunflower seed production and continued favorable crush margins. Strong profitability is encouraging processors to utilize available spare capacity for sunflower crushing, particularly in facilities traditionally oriented toward soybeans.

Additional crush capacity will also come this year from a new crush facility in Buenos Aires Province expected to become operational during the MY2026/27 marketing year.

Peanut meal production remains negligible and is only a byproduct of Argentina's highly export-oriented peanut industry.

Feed Consumption

Domestic soymeal consumption is forecast up slightly at 2.7 MMT in MY2026/27, driven by continued modest growth in the pork, poultry and dairy industries. Less than 8 percent of Argentina's soymeal production is expected to be consumed domestically as exports continued to dominate the market. Domestic consumption of protein meals in Argentina remains modest relative to total production, as the country's livestock and poultry industries are comparatively small. Argentina's massive crush industry is export-oriented and grew to take advantage of global demand, add value to domestic soybeans, and provide jobs. However, the local dairy industry is doing particularly well and is expected to support domestic soymeal consumption.

Sunflower meal has limited use in domestic feed rations due to its lower protein content compared to soymeal. Most sunflower meal is exported, with only a small portion retained for use in local livestock and dairy sectors. Feed consumption is forecast flat.

The small amount of peanut meal produced in Argentina is consumed entirely within the domestic market, mostly in close proximity to processing facilities.

Overall, while rising beef prices may incentivize some consumers to shift toward pork and poultry, leading to slightly increased demand for animal feed, the resulting growth in meal consumption will remain minor compared to the volumes produced and exported.

Trade

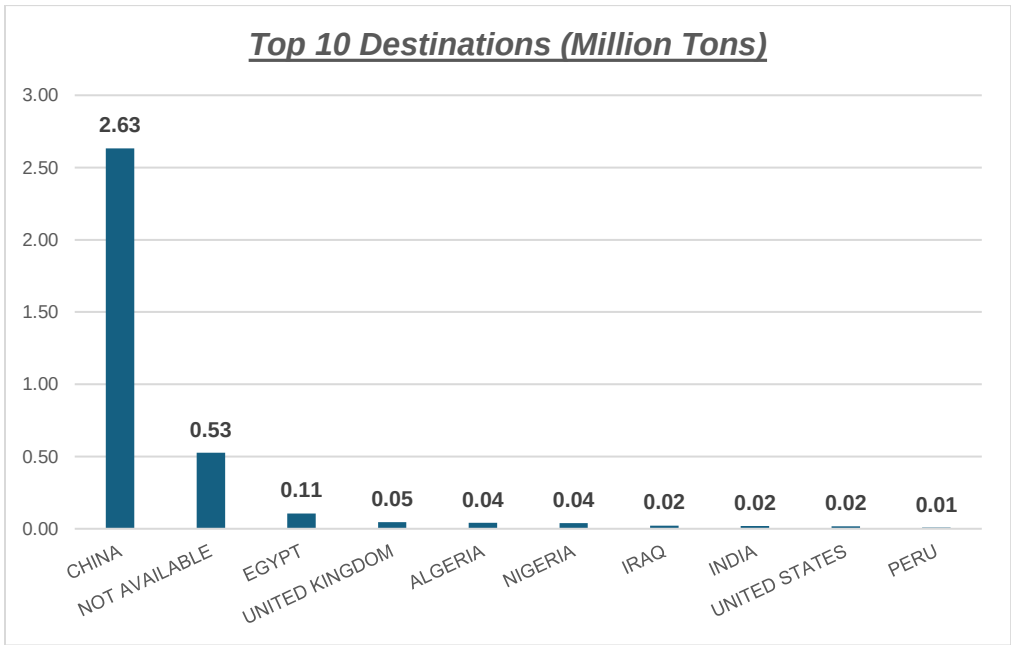
Soymeal exports are forecast steady at 30 MMT in MY2026/27 with less supply on a lower crush but continued strong global demand for protein meals. Argentina is a global leader in the export of soymeal and sunflower meal, supported by a well-developed crushing sector and export logistics network centered along the Paraná River system.

Argentina remains the world’s largest exporter of soybean meal with a massive crush industry and competitive FOB prices. The country’s soymeal exports are supported by decades of investment in domestic crushing capacity and historically favorable export tax structures. Although the differential export tax advantage that once favored meal exports was removed in 2018, the scale and efficiency of Argentina’s crushing industry have sustained its global competitiveness.

By far the top market for Argentina’s soymeal is once again expected to be the EU with over half of Argentina’s exports. Vietnam is expected to be a distant second but still a significant customer. Other markets include Saudi Arabia, Turkey, Malaysia, and Indonesia.

The graph below illustrates Argentina’s top soybean meal export markets in calendar year (CY) 2025 with data provided by Nabasa, a local shipping agent, as Argentine official trade data includes exports under the market “confidential” by which companies are able to obscure the final destination for shipments.

Argentina Top Soymeal Export Markets Calendar Year 2025



Source: Post FAS Buenos Aires with Nabsa Data

Traders have expected a build-up of soymeal stocks based on increased crush in the United States and Brazil (driven by strong oil demand). But to date soymeal prices have remained higher than expected and sales have continued at a brisk rate, to the surprise of industry analysts. Given this, continued favorable sales of Argentine soymeal are expected into the new marketing year.

Post forecasts sunflower meal exports steady in MY2026/27 at 1.7 MMT with little change expected in demand for Argentina's sunflower meal as demand has increased for whole sunflower seed exports.

Nearly 65 percent of Argentina's sunflower meal will once again be destined for the EU with the UK as the second largest buyer. Combined, these two markets are forecast to account for nearly 80 percent of Argentina's sunflower meal exports with the remainder sent to neighboring countries. According to traders, Argentina's strong sunflower meal exports to Europe are attributed to lower prices and EU preference for its non-GE and high-fiber traits.

Peanut Meal Exports are forecast unchanged from the previous year. Argentina exports only a small volume of peanut meal, almost exclusively to Chile, where it is used in the farmed salmon industry.

Stocks

Protein meals are generally not stored in large volumes due to quality degradation risks over time. Stocks at the end of MY2026/27 are expected to remain minimal, consistent with historical trends. Ending stocks typically represent only one to two months of domestic consumption and are held primarily by processors and feed mills for operational continuity.

Meals Production, Supply, and Demand Statistical Tables

Meal, Soybean (Local) Market Year Begins	2024/2025		2025/2026		2026/2027	
	Apr 2025		Apr 2026		Apr 2027	
Argentina	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	41000	42000	42500	43000	0	42000
Extr. Rate, 999.9999 (PERCENT)	0.77	0.76	0.77	0.76	0	0.76
Beginning Stocks (1000 MT)	2404	2404	2474	2834	0	3015
Production (1000 MT)	31570	31920	32725	32680	0	31920
MY Imports (1000 MT)	500	510	1	1	0	1
Total Supply (1000 MT)	34474	34834	35200	35515	0	34936
MY Exports (1000 MT)	28500	28500	29400	30000	0	30000
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	3500	3500	3500	2500	0	2700
Total Dom. Cons. (1000 MT)	3500	3500	3500	2500	0	2700
Ending Stocks (1000 MT)	2474	2834	2300	3015	0	2236
Total Distribution (1000 MT)	34474	34834	35200	35515	0	34936
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Meal, Sunflowerseed Market Year Begins	2024/2025		2025/2026		2026/2027	
	Mar 2025		Mar 2026		Mar 2027	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Argentina						
Crush (1000 MT)	4850	4828	5500	5300	0	5600
Extr. Rate, 999.9999 (PERCENT)	0.4439	0.4461	0.4411	0.4472	0	0.4464
Beginning Stocks (1000 MT)	208	208	211	155	0	275
Production (1000 MT)	2153	2154	2426	2370	0	2500
MY Imports (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	2361	2362	2637	2525	0	2775
MY Exports (1000 MT)	1600	1657	1800	1700	0	1700
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	550	550	615	550	0	550
Total Dom. Cons. (1000 MT)	550	550	615	550	0	550
Ending Stocks (1000 MT)	211	155	222	275	0	525
Total Distribution (1000 MT)	2361	2362	2637	2525	0	2775
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

[illegible]

Oils

Production

Post forecasts Argentina's soybean oil production at 8.4 MMT, down 200,000 MT from the previous year on a modestly lower crush. Any growth in soy oil production would depend on crush margins and global demand, particularly from India.

Sunflower oil production is forecast to increase to 1.8 MMT in MY2026/27, driven by higher crush volumes supported by expanded planted area with increased seed availability, and favorable crush margins. Strong international demand for sunflower oil continues to underpin both crush activity and export prospects, contributing to stronger domestic farmgate prices for sunflower seed. This trend is expected to persist, supported by ongoing supply disruptions from key exporters, particularly due to the war in Ukraine, as well as the broader geopolitical tensions affecting global vegetable oil markets.

Argentina is not significant producer, consumer, or exporter of peanut oil.

Post observes that global crush margins everywhere, including in Argentina, have strengthened amid ongoing geopolitical tensions. Should these conditions persist, margins are expected to remain supportive of continued crushing activity. Shipments of both soybean oil and meal remained robust throughout the previous year. If current price trends are sustained, particularly for vegetable oils, additional crushing may occur in the near term. However, the extent of any increase will depend on how the conflict evolves.

Food Consumption

With stable population growth and limited expansion in per capita consumption, domestic consumption for soybean oil and sunflower oil for food use are both forecast at 550,000 MT in MY2026/27, unchanged from the previous two years.

Domestic food use of vegetable oils in Argentina remains dominated by soybean and sunflower oil. Sunflower oil is the preferred cooking oil of Argentines but purchasing decisions are largely driven by price. Sunflower oil produced from domestic crush is primarily used for human consumption. Soybean oil now accounts for approximately 75 percent of Argentina's edible oil consumption. Both oils are also widely consumed by Argentina's sizeable food processing industry for products such as cooking oils, mayonnaise, and canned goods.

Peanut oil consumption is minimal and not forecast to change for the foreseeable future.

Industrial Consumption

Domestic soybean oil consumption is also forecast steady at 1.7 MMT for industrial use as there currently is no biodiesel blend mandate and no political appetite for a change in policy in the current Congress or Administration.

The local biofuels sector has been stagnant in the past several years because of laws regulating the sector, official policy or lack thereof, and political/economic decisions. Biodiesel is almost exclusively made from soybean oil,

The average national blend rate of biodiesel is forecast at 6.6 percent, down from 6.8 percent in 2024. However, this blend rate is higher than recent years. This blend rate is still below the stated 7.5 percent mandate in place for sales of on/off road diesel.

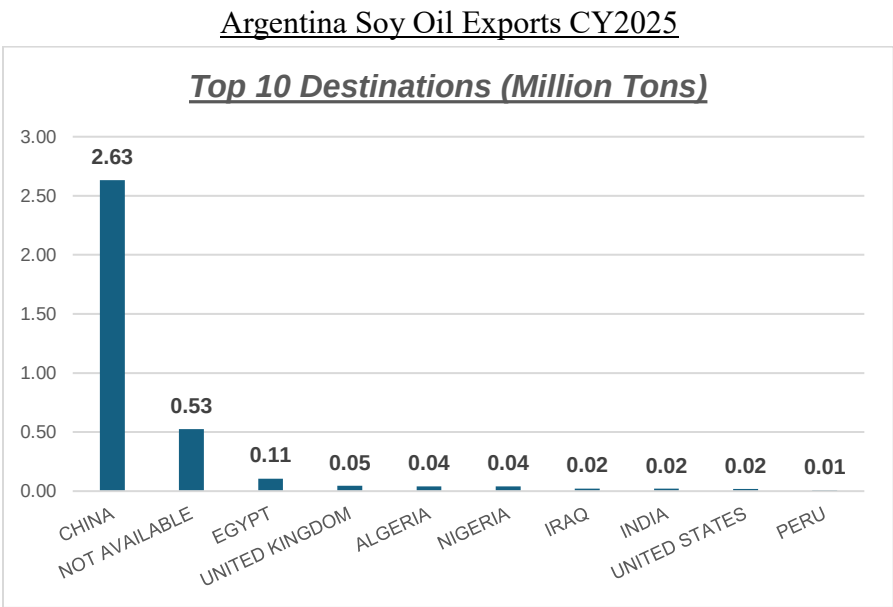
Industrial and feed consumption of sunflower oil is minimal and remains unchanged from previous years.

Trade

Soybean oil exports are forecast at 6.3 MMT in MY2026/27, unchanged from the previous year, assuming stable global prices and demand conditions. Any increased exports would depend on improved crush margins driven by stronger international demand or higher world prices.

Global demand for vegetable oils is expected to remain firm, supported in part by policy-driven increases in biodiesel production in several countries seeking to moderate diesel prices and reduce reliance on fossil fuels. Industry analysts forecast a bullish outlook for vegetable oils for the foreseeable future. Including trends in several countries including the United States to increase biodiesel production. India is projected to remain the leading destination for Argentine soybean oil, accounting for over 60 percent of exports and continuing to play a central role in driving demand.

Canada recently began importing soy oil from Argentina as a feedstock for renewable diesel production. This is anticipated to drive demand for Argentine soy oil exports in MY2026/27 as the refinery is located in Newfoundland, making the logistics of sourcing from Argentina viable. This new demand is expected to continue into the new marketing year, which could raise exports higher than the current forecast.



Source: Post FAS Buenos Aires with Nabsa Data

Sunflower oil exports are forecast up slightly to 1.8 MMT, driven almost entirely by India's demand and continued imports of Argentine soy oil. Over half of Argentina's sunflower oil exports are forecast to go to India in MY2026/27. Chile, Iraq, and the United States make up the next three largest markets.

Argentina also plays a significant role in the global sunflower oil trade. The European Union is a key export market for Argentine sunflower oil, and demand fluctuations in this region can significantly impact Argentina's crush volume. Future growth in the crushing sector will depend on improved crop productivity, enhanced access to export markets, and Argentina's ability to remain cost-competitive against other vegetable oils, including soybean and palm oil.

Peanut oil exports are small but forecast flat. Nearly all of Argentina's peanut oil will be destined for China in MY206/27, with the EU a distant second. However, there is potential for marginal growth in export volumes should demand from China increase. As with other vegetable oils, peanut oil exports are influenced by global demand dynamics and relative pricing competitiveness, particularly in Asia and Europe.

Stocks

Soybean oil ending stocks are forecast at 102,000 MT. Argentina keeps very little, if any stocks on hand. Little to no stocks are kept of other oils.

Oils Production, Supply, and Demand Statistical Tables

Oil, Soybean (Local) Market Year Begins	2024/2025		2025/2026		2026/2027	
	Apr 2025		Apr 2026		Apr 2027	
Argentina	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	41000	42000	42500	43000	0	42000
Extr. Rate, 999.9999 (PERCENT)	0.1995	0.1995	0.1995	0.2	0	0.1995
Beginning Stocks (1000 MT)	452	452	422	252	0	262
Production (1000 MT)	8180	8380	8479	8600	0	8380
MY Imports (1000 MT)	170	170	10	10	0	10
Total Supply (1000 MT)	8802	9002	8911	8862	0	8652
MY Exports (1000 MT)	6400	6500	6500	6300	0	6300
Industrial Dom. Cons. (1000 MT)	1400	1700	1400	1750	0	1700
Food Use Dom. Cons. (1000 MT)	580	550	580	550	0	550
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	1980	2250	1980	2300	0	2250
Ending Stocks (1000 MT)	422	252	431	262	0	102
Total Distribution (1000 MT)	8802	9002	8911	8862	0	8652
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

[illegible]

Attachments:

No Attachments